efits. For example, retirement rules can be changed to raise the age at which one is entitled to benefits, or cost-of-living indexing can be dropped. The same choices face Canada, Britain, Italy, and much of the world.

But there is another alternative: privatizing the pension scheme. It's happened in Chile. In 1980 the government-run pension system was replaced by a private system of pension savings accounts.*

It's going to happen throughout the West. Early in 1997 a U.S. federal Advisory Council on Social Security suggested that Congress should consider some degree of privatization of the U.S. system. This could be accomplished in a number of ways. Payroll taxes now invested in special Treasury bonds could be invested in stocks and bonds, probably by way of an index fund of some sort. Others on the panel went further: They proposed that some percentage of the tax go into workers' self-directed retirement accounts, the balance left to maintain the existing flat-benefit system, though at a reduced level. The self-directed portion would go into some kind of mutual fund family. It'll take considerable time before all this is worked out, but some form of privatization is almost inevitable.

Meanwhile, people in this country sense the precariousness of today's Social Security. They have gotten the message that the government isn't going to take care of them, so they had better start saving for themselves. The assets in 401(k) and other defined-contribution plans are growing so rapidly that before long they will exceed the assets in traditional pension plans. Most of that money is flowing into mutual funds.

Two stocks we have owned are T. Rowe Price, a public mutual fund company, and United Asset Management, a kind of holding company for money management firms. Seeing the same forces at work in Europe, I've owned several mutual fund companies there. With billions pouring into funds every week in this country, and

*José Piñera, *Empowering Workers: The Privatization of Social Security in Chile* (Washington, D.C.: Cato Institute, 1966).